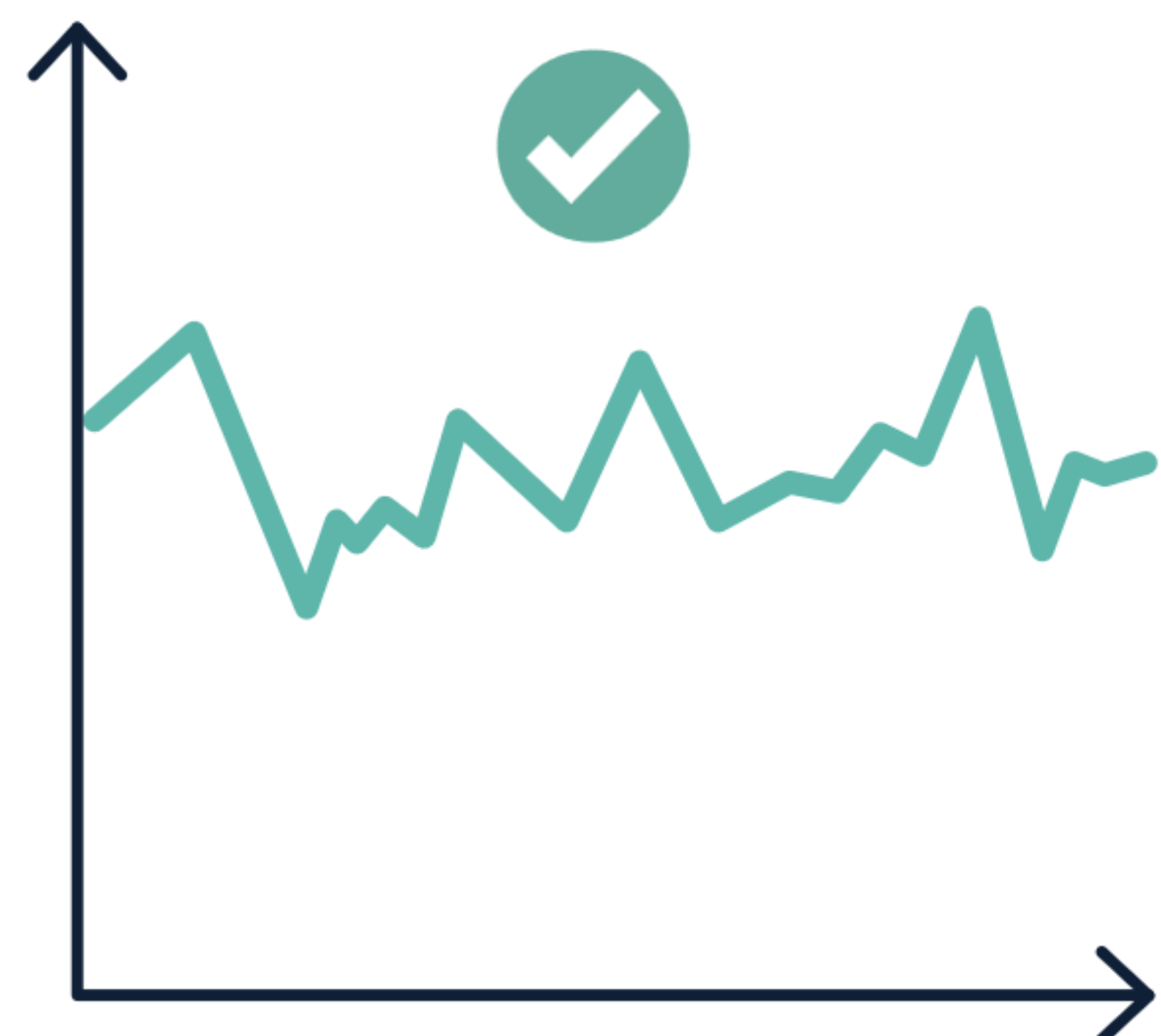


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And let's not forget the role of distributors in this equation. They often push NFOs because they stand to earn a higher commission from them. It's business for them, but for you, it might not align with your investment goals.

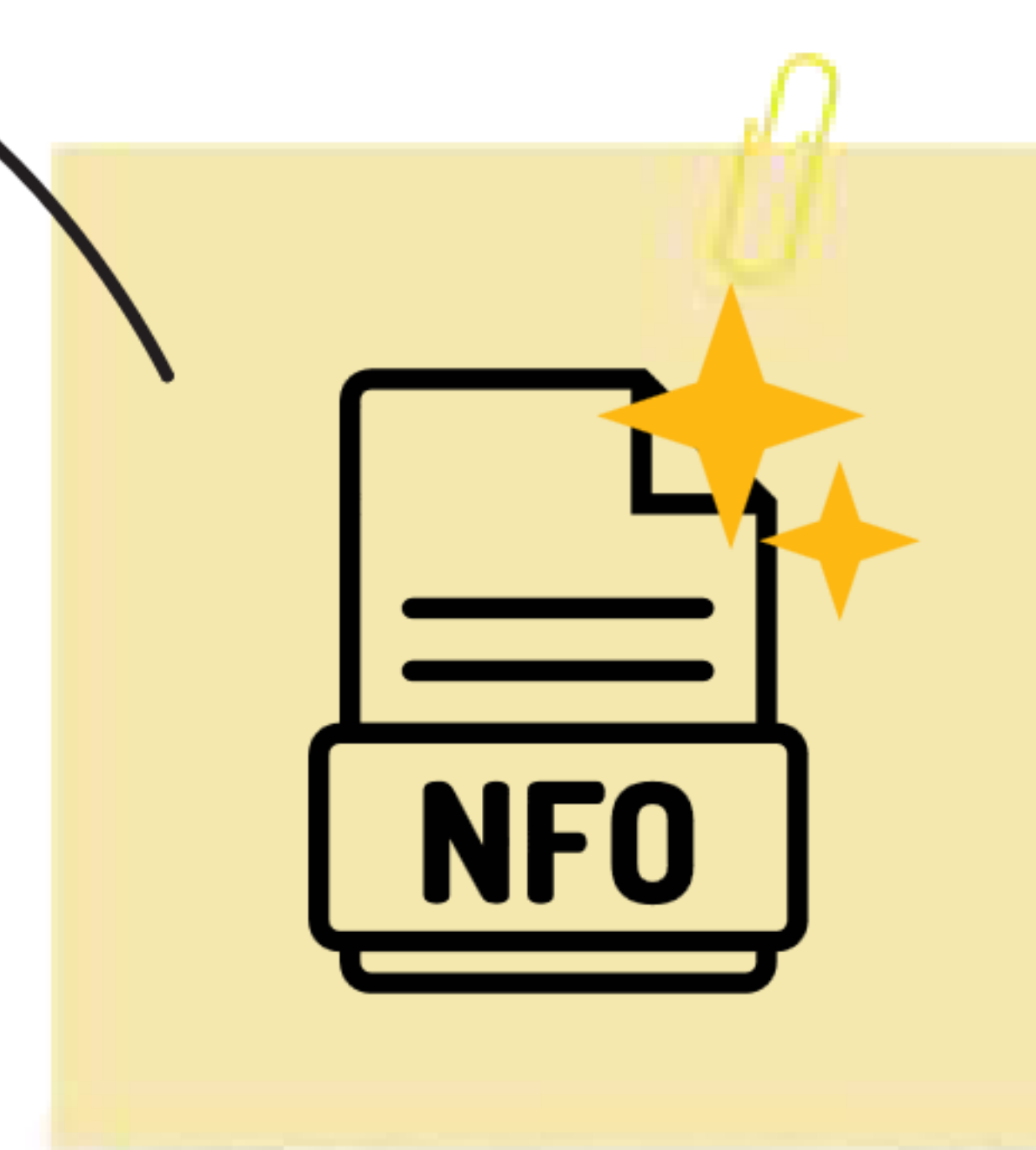


Proven Track Record

So, in a nutshell, to avoid potential pitfalls and ensure a more informed investment, it's often wiser to stick with mutual funds that have a proven track record of at least 5-10 years, steering clear of the temptation of NFOs and their associated risks.

However, if you encounter an NFO with a unique theme or strategy that perfectly aligns with your investment vision and fills a gap in your portfolio, then consider taking a calculated leap of faith.

Just be sure your belief in its potential outweighs the inherent risk of its novelty.



Unique NFO

e. Don't time the Market

You know how it goes – the stock market hits all-time highs or someone brags about a 40% return, and suddenly, the fear of missing out creeps in.

You wait for a dip, but when it finally happens, the fear kicks in again – what if it goes down even more? So, you wait. And when it corrects significantly, you hesitate, thinking it might go even lower or stay down for a while. Before you realize it, the market starts climbing again, and there you are, left behind.